though it has elicited very lukewarm response till now, leaving the country at the mercy of Coal India's near-monopoly on supplies. Even so, the coal ministry says it has over 70 MT of coal stock available at present, which is enough to meet the demand of all the power plants.

But why isn't this coal reaching the gencos? Logistics, for one. "Railways is one of the main reasons," says Shailendra Dubey, chairman of the All India Power Engineers' Federation (AIPEF). "Usually, we require 453 rakes per day to cater to 155 thermal power stations. In the last week of April, there were only 379 rakes. Since then, it has improved to 412 rakes, but there is still a shortfall." On April 28, the railways, in an attempt to ramp up efforts to ensure coal supplies, cancelled 13 pairs of express and eight pairs of passenger trains to free up tracks for goods wagons ferrying coal to power plants.

Coal transportation may have been the chief culprit in the current crisis but not the only one. Poor coordination among the three key ministries—railways, coal and power—is equally to blame. Their failure to anticipate demand or the impact of the Ukraine war on the cost of imported coal has brought us to this sorry pass.

Then, there is that perpetual villain—the crisis of payments. Gencos are required to pay Coal India on a cash and carry basis. They have commitments to get payments from discoms within 90 days. The discoms themselves face delays of 180 days or more. Gencos, central, state and private, therefore, run into defaults with Coal India. Private gencos then prefer to cut back on generation rather than pay higher interest rates. When outstanding dues by the power sector hovered at Rs 15,000 crore last year, Coal India tightened the screws on coal supply and was able to pare it down to Rs 12,272 crore, still a very high number.



"I am sure the Revamped Distribution Sector Scheme will do wonders to reduce cross-subsidisation. A target-based scheme can bring changes"

HETAL GANDHI
Head, Energy Transition, Crisil

DISCOM DILEMMA

Discoms in India face two primary challenges: to determine demand, and to ensure that the distribution network is robust enough to handle any surge. Delhi, for instance, accounts for four per cent of India's power consumption. However, with no dedicated power plants, it is the only state that imports 90 per cent of its power from other states. And while power distribution in the national capital has been privatised, tariffs are controlled by the CERC and the SERCs.



MILIND SHELTE

CASE STUDY | MAHARASHTRA

'The hidden cost of the power cut is worrisome'

SUDHIR DHUTTEKAR
47

Proprietor, Avnish Engineering, Latur

His power press and powder coating business was already reeling under high iron prices. Daily unscheduled power cuts of 1–1.5 hours have now added to Sudhir Dhuttekar's woes. The erratic supply has damaged several parts of his CNC (computer numerical control) machine. "The CNC panel circuit was damaged. I repaired it, but the production cost went up by 10 per cent," says Dhuttekar. He also spent Rs 4,500 on fixing the stepping machine, which too was damaged amid the power fluctuation.

"The hidden cost of the power cut is more worrisome," says Dhuttekar. "I can't hike the final product prices as the customer has already booked it at a fixed rate. My profit margin has come down by 15 per cent."

Dhuttekar has installed a diesel-run power generator with 100-watt capacity. "If the generator is run for at least one and a half hours daily, it costs me an extra Rs 1,800–2,000 a month," he says. He also has to pay overtime charges to the labourers. "As the work is not over in the stipulated time due to the power cut, I have to ask the labourers to stay back. Even if they work an extra hour, I have to give them overtime charges of Rs 1,200."

At 28.5 GW, Maharashtra's power demand has been the highest in two years. However, the state is able to meet demand up to 25 GW only. It has now decided to buy additional power from Coastal Gujarat Power Limited (CGPL), which has a power production plant in Mundra in Gujarat.

– Kiran D. Tare